

KCB Group FY20 Earnings Note

KCB Group's FY20 PAT declined 22.1% y/y to KES 19.6B below our expectation of a 9.8% y/y decline in net earnings. The drop was driven by a 209.5% y/y surge in loan loss provisions to KES 27.5B coupled with a 11.6% y/y uptick in operating expenses to KES 43.2B. The group announced a first and final dividend of KES 1.00 (dividend yield of 2.5%).

We maintain a BUY recommendation on KCB Group with a target price of KES 46.17 offering a potential upside of 15.1% on the current price of KES 40.10.

DATE:	**18th March 2021**
Target Price:	**KES 46.17**
Current Price:	**KES 40.10**
Upside:	**15.1%**
52 Week Low:	**KES 30.00**
52 Week High:	**KES 55.50**

Strong double-digit growth in the balance sheet

Deviating from our estimates of a 5.0% y/y growth in loans and advances, the group's loan book grew 10.3% y/y to KES 595.3B while investment in government securities was up 24.6% y/y to KES 208.8B. Interest income increased 19.4% y/y to KES 63.3B boosted by a 64.8% y/y growth in interest from investment in government securities as slowed lending due to the prevailing pandemic saw banks opt to lend to government.

Asset quality deteriorates

In the period under review, loan loss provisions ballooned 209.5% y/y to KES 27.5B while the NPL ratio surged 450 bps y/y to 16.2%. The pandemic saw a shutdown in most sectors of the economy inhibiting business activity while seeing a decline in consumer demand due to job cuts that saw a decline in household income. While the lender effected loan restructures on its loan book, we remain weary of the asset quality as businesses in some sectors such as tourism may take long to recuperate from the effects of the pandemic.

Rising costs dent bottom line

Operating expenses rose 11.6% y/y to 43.1B driven by 5.6% y/y increase in staff costs, a 13.3% increase in other operating expenses and a 42.1% uptick in amortization charges. The cost to income ratio however remained subdued declining 110bps y/y to 44.8%.

Outlook

The Group's FY20 performance was in line with our expectation of a drop in earnings driven by a leap in loan loss provisions. We remain concerned on the asset book quality but remain optimistic of an improvement in the business environment with the reopening of the economy expected to see near term improvement in most sectors especially manufacturing and trade sectors. With the kick-off of vaccination exercises, we foresee improved investor sentiments further boosting activity.



Source: AIB-AXYS Research

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Financial Statements

Income Statement	FY19 KES M	FY20 KES M	chg y/y
Interest Income	74,351	88,745	19.4%
Interest Expense	18,220	20,808	14.2%
Net Interest Income	56,130	67,938	21.0%
Non Interest Income	28,172	28,451	1.0%
Total Operating Income	84,302	96,388	14.3%
Total Operating Expenses	38,680	43,161	11.6%
Loan Loss Provision Expense	8,889	27,508	209.5%
Operating Profit	45,622	53,227	16.7%
Profit Before Tax	36,897	25,719	-30.3%
Current Tax	11,732	6,115	-47.9%
Profit After Tax	25,165	19,604	-22.1%
EPS (KES)	7.83	5.83	-25.5%
DPS (KES)	3.50	1.00	-71.4%
Balance Sheet			
Total Shareholders' Equity	129,741	142,424	9.8%
Customer Deposits	686,583	767,224	11.7%
Total Liabilities	768,831	845,386	10.0%
Total Equity and Liabilities	898,572	987,810	9.9%
Government and Other Securities	167,591	208,765	24.6%
Net Loans and Advances	539,747	595,254	10.3%
Total Assets	898,572	987,810	9.9%
Key Ratios			
Gross NPL (KES M)	63,396	96,613	52.4%
NPL Ratio	11.7%	16.2%	
Cost of risk	1.6%	4.6%	
Loan to Deposits	78.6%	77.6%	
Yield on Interest Earning Assets	10.5%	11.0%	
Cost of Funds	2.7%	2.7%	
NIM	7.9%	8.3%	
Non Funded/Total Income	33.4%	29.5%	
Cost to Income Ratio	45.9%	44.8%	
ROE	19.4%	13.8%	
ROA	2.8%	2.0%	
Core Capital/TRWA	17.2%	18.2%	
Total Capital/TRWA	19.0%	21.6%	
Liquidity Ratio	37.1%	36.1%	
P/E (x)		6.9	
P/B (x)		0.9	

Source: AIB-AXYS Research, company fillings



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